

Adani Energy Solutions Ltd (ADANIENSOL)

ROE	8.59%
ROCE	9.0%
CFO Quality	High Quality
Capital Allocation	Shareholder Returns

Strengths

- Operating profit margin above 25% indicates strong pricing power and cost discipline.

Risks

- Debt-to-equity ratio of 2.93 is elevated and warrants monitoring.
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
- Return on equity below 10% suggests the business is generating weak shareholder returns.
- Total debt exceeding 3 times operating cash flow limits financial flexibility.